Practice workbook · Naming and describing the accounting concepts

Recalling the accounting concepts in the specification (and going concern where an MCQ offers it): naming the concept a definition-style statement describes, giving a short description of a named concept, and telling real concepts apart from other accounting terms.

12 question parts: 1 worked-example retry and 11 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-ENV-03

1. Question 13 · part a · 3 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part a only.

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13 (a) State which accounting concept is being described.

(3)

Description	Accounting concept
Low-value items do not need separate recording.	
Only items that can be measured in money should be recorded in the business records.	
The business is treated as being completely separate from the owner of the business.	

(b) State which principle of professional ethics is being described.

(2)

Description	Principle of professional ethics
Accountants must be free from bias/conflict of interest.	
Accountants must operate in a straightforward/honest manner.	

(Total for Question 13 = 5 marks)

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Working and answer

2. Question 17 · part c · 6 marks

2021 NOV · Paper 01

Further practice · Attempt part c only.

17 During the year ended 30 September 2020 the following cheque payments were made for rent at $300 per month.

Date paid	Period covered
1 November 2019	1 September 2019 to 31 December 2019
1 January 2020	1 January 2020 to 30 June 2020
1 July 2020	1 July 2020 to 31 December 2020

(a) Prepare the rent payable account for the year ended 30 September 2020. Balance the account on that date and bring the balance down on 1 October 2020.

(5)

Rent Payable Account

Date	Details	$	Date	Details	$

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2. Question 17 · part c · 6 marks

2021 NOV · Paper 01

Further practice · Attempt part c only.

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(b) State, giving a reason, where the balance of the rent payable account in part (a) would appear in the statements of financial position at:

(i) 30 September 2019

(2)

.....

.....

.....

(ii) 30 September 2020

(2)

.....

.....

.....

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(c) State **three** accounting concepts together with a brief description of each.

(6)

Accounting concept	Description

(Total for Question 17 = 15 marks)

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2. Question 17 · part c · 6 marks · Working and answer

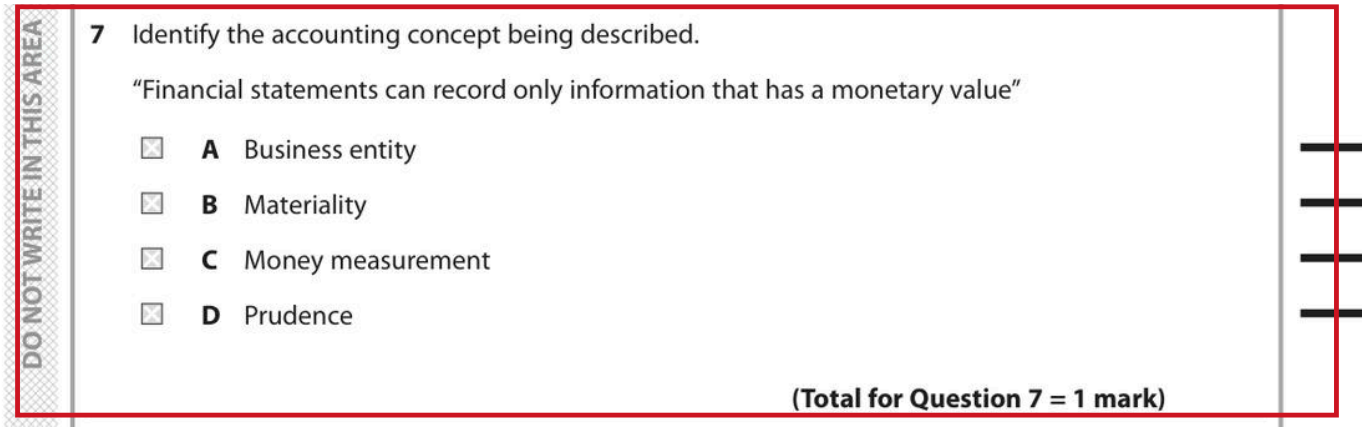
Working and answer

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3. Question 7 · part whole · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part whole only.



Working and answer

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4. Question 9 · part whole · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part whole only.

9 Identify which accounting concept is described in the statement 'the business is treated as being completely separate from the owner of the business'.

- ☒ **A** Business entity
- ☒ **B** Going concern
- ☒ **C** Materiality
- ☒ **D** Prudence

(Total for Question 9 = 1 mark)

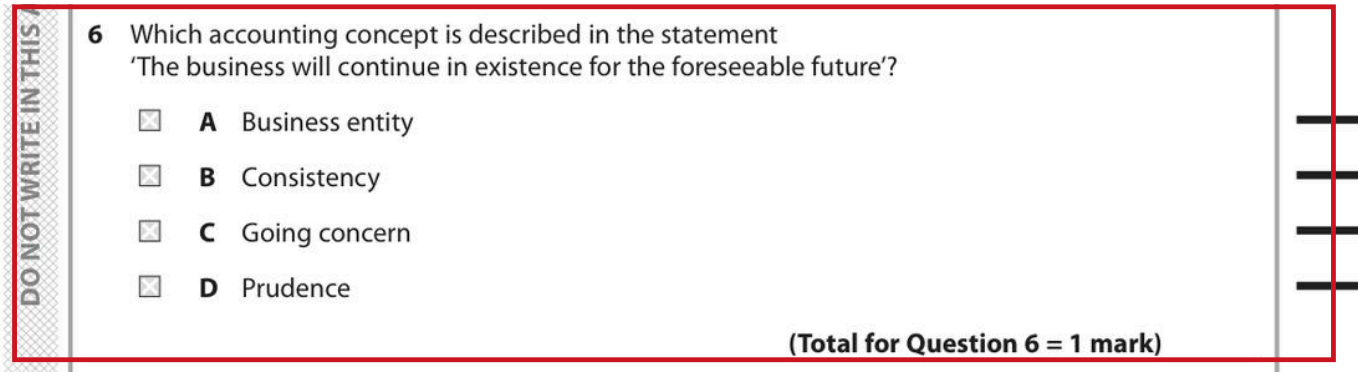
Working and answer

OLevels.com SCHOOL

5. Question 6 · part whole · 1 mark

2024 JUN · Paper 01

Further practice · Attempt part whole only.


DO NOT WRITE IN THIS

6 Which accounting concept is described in the statement
'The business will continue in existence for the foreseeable future'?

- ☒ **A** Business entity
- ☒ **B** Consistency
- ☒ **C** Going concern
- ☒ **D** Prudence

(Total for Question 6 = 1 mark)

Working and answer

OLevels.com SCHOOL

6. Question 7 · part whole · 1 mark

2024 JUN · Paper 01

Further practice · Attempt part whole only.

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7 Which accounting concept is described in the statement 'Profits and assets are not overstated'?

- ☒ **A** Business entity
- ☒ **B** Consistency
- ☒ **C** Going concern
- ☒ **D** Prudence

(Total for Question 7 = 1 mark)

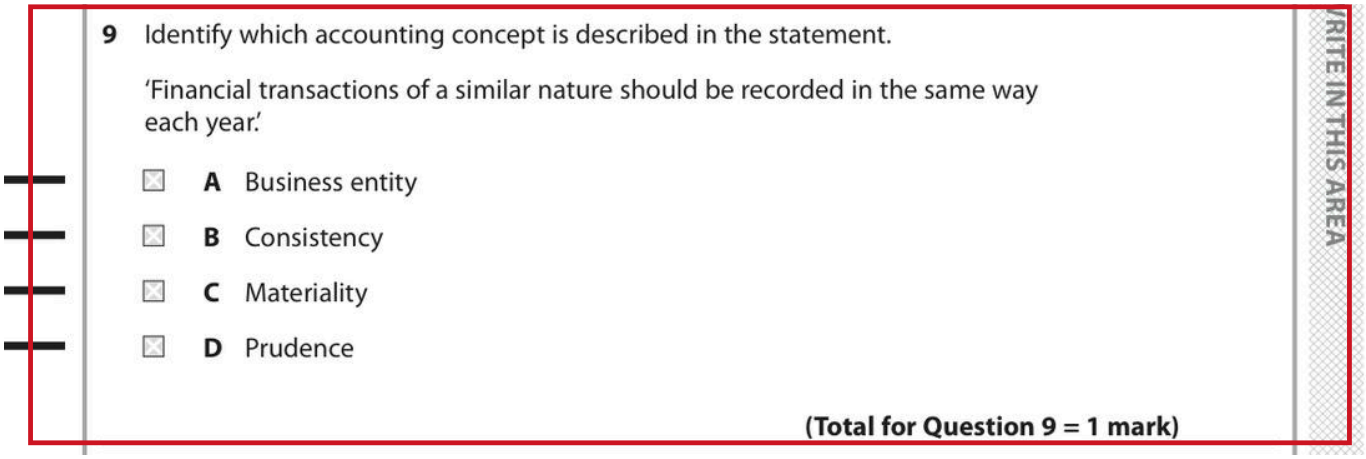
Working and answer

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7. Question 9 · part whole · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part whole only.



9 Identify which accounting concept is described in the statement.

'Financial transactions of a similar nature should be recorded in the same way each year.'

- ☒ **A** Business entity
- ☒ **B** Consistency
- ☒ **C** Materiality
- ☒ **D** Prudence

(Total for Question 9 = 1 mark)

WRITE IN THIS AREA

Working and answer

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8. Question 9 · part whole · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part whole only.

9 Which accounting concept is described in the statement:

"Every business is regarded as having an existence separate from that of its owner"?

- ☒ **A** Business entity
- ☒ **B** Consistency
- ☒ **C** Materiality
- ☒ **D** Prudence

(Total for Question 9 = 1 mark)

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Working and answer

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9. Question 4 · part whole · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part whole only.

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4 Which accounting concept is described in the statement:

"Accountants should always take a conservative figure so as not to overstate the profit."?

- ☒ **A** Accruals
- ☒ **B** Consistency
- ☒ **C** Materiality
- ☒ **D** Prudence

(Total for Question 4 = 1 mark)

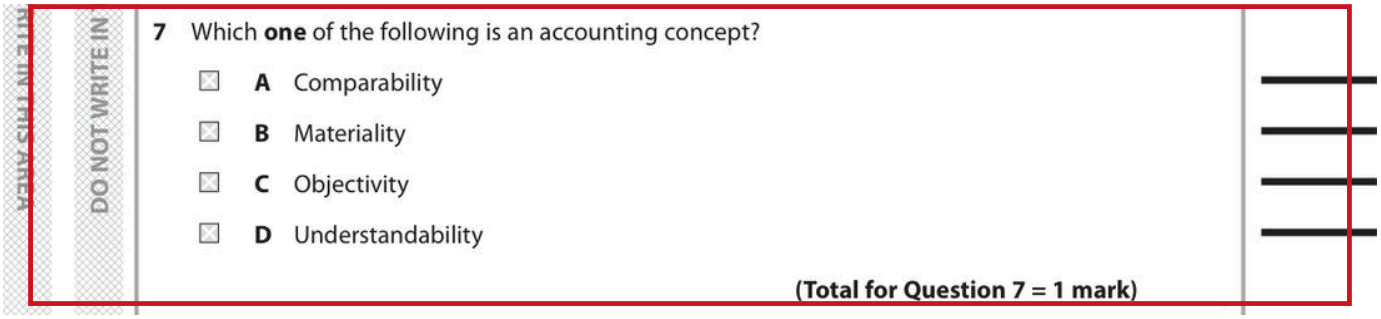
Working and answer

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10. Question 7 · part whole · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part whole only.



7 Which **one** of the following is an accounting concept?

- ☒ **A** Comparability
- ☒ **B** Materiality
- ☒ **C** Objectivity
- ☒ **D** Understandability

(Total for Question 7 = 1 mark)

Working and answer

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11. Question 2 · part whole · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part whole only.

2 Which is **not** an accounting concept?

- ☒ **A** Business entity
- ☒ **B** Confidentiality
- ☒ **C** Consistency
- ☒ **D** Materiality

(Total for Question 2 = 1 mark)

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Working and answer

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12. Question 2 · part c · 2 marks

2023 JAN · Paper 02

Further practice · Attempt part c only.

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2 Yamini purchases and sells goods on a credit basis. She provided the following information for the year ended 30 September 2022.

	1 October 2021 $	30 September 2022 $
Motor vehicles Cost Provision for depreciation	 50 000 10 000	 50 000 **To be calculated**
Inventory	25 750	27 460
Other payables – wages	–	500
Other receivables – office expenses	–	400
Trade payables	15 500	12 750
Trade receivables	21 400	32 500

Bank Summary

Receipts	$	Payments	$
Interest received	110	Drawings	18 000
Trade receivables	167 650	Office expenses	26 750
		Trade payables	92 750
		Wages	33 000

Depreciation is charged at 20% per annum using the reducing balance method.

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12. Question 2 · part c · 2 marks

2023 JAN · Paper 02

Further practice · Attempt part c only.

(a) Calculate for the year ended 30 September 2022:

(i) credit sales

(3)

(ii) credit purchases.

(3)

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12. Question 2 · part c · 2 marks

2023 JAN · Paper 02

Further practice · Attempt part c only.

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(b) Prepare the income statement for the year ended 30 September 2022.

(12)

Yamini
Income statement for the year ended 30 September 2022

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12. Question 2 · part c · 2 marks

2023 JAN · Paper 02

Further practice · Attempt part c only.

(c) State **two** accounting concepts that apply when preparing financial statements.

(2)

1 .....

2 .....

Yamani provided the following information at 30 September 2022.

	30 September	
	2021	**2022**
Current (working capital) ratio	2:1:1	2.3:1
Liquid (acid test) ratio	1.2:1	0.8:1

(d) Evaluate the change in liquidity from 2021 to 2022.

(5)

(Total for Question 2 = 25 marks)

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12. Question 2 · part c · 2 marks · Working and answer

Working and answer

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